

ACCTG 211H — Mechanics Drill Set (Answer Key)

Week 6 — Revenue Recognition and Abnormal Returns

Drill Set

Quick, single-skill reps to build mechanical fluency before the week's first class. Graded for **completion** — work each one by hand, then check it against the key that follows and re-do any you missed. Drills 1–4 cover revenue recognition (ASC 606); Drills 5–6 cover the abnormal-return mechanics from the chapter.

1. (*Allocate the transaction price.*) A firm sells a bundle for \$900: a product with a standalone selling price of \$800 and a one-year service with a standalone selling price of \$400. Allocate the \$900 to the two performance obligations using relative standalone selling prices.
2. (*Recognize over time.*) The service from Drill 1 is delivered evenly over twelve months. How much service revenue is recognized in the first two months?
3. (*Sale with a contract liability.*) On January 1 the firm receives the \$900 cash for the bundle in Drill 1 and delivers the product immediately; the service has not yet been provided. Record (a) the January 1 entry and (b) the January 31 entry for one month of service.
4. (*Right of return.*) A firm ships goods on December 28 for \$50,000; control transfers on shipment and the firm reliably estimates that 4% will be returned. How much revenue is recognized in December, and what refund liability is recorded?
5. (*Abnormal return.*) A stock returns +3.2% on its earnings-announcement day. Its market-model parameters are $\alpha \approx 0$ and $\beta = 1.2$, and the market returned +1.5% that day. Compute the abnormal return.
6. (*Cumulative abnormal return.*) Over a three-day event window a stock's daily abnormal returns are +0.6%, -0.2%, and +1.1%. Compute the cumulative abnormal return (CAR).

Self-Check Answers

1. **Allocate.** Total standalone value = $800 + 400 = \$1,200$. Product = $900 \times (800/1,200) = \600 . Service = $900 \times (400/1,200) = \300 .
2. **Over time.** Service revenue = $300 \times (2/12) = \$50$.

3. **Contract liability.**

- (a) January 1: Dr Cash \$900; Cr Sales Revenue \$600 (product delivered); Cr Deferred (Contract) Revenue \$300.
- (b) January 31: Dr Deferred Revenue \$25 ($= 300 \div 12$); Cr Service Revenue \$25.

4. **Right of return.** Revenue recognized $= 50,000 \times 96\% = \$48,000$; Refund liability $= 50,000 \times 4\% = \$2,000$.

5. **Abnormal return.** Expected return $= r_f + \beta \cdot R_m = 0 + 1.2 \times 1.5\% = 1.8\%$. AR $= 3.2\% - 1.8\% = +1.4\%$.

6. **CAR.** CAR $= 0.6\% - 0.2\% + 1.1\% = +1.5\%$.